FROM THE
EDITOR-IN-CHIEF

Fairytale phrases are not a genre one associates with central bankers. But Sanjay Malhotra, governor of the Reserve Bank of India (RBI), has reached for one to describe the present moment. He calls it a 'Goldilocks period', a phase when a constellation of virtuous factors has created a sweet spot for the Indian economy, even amid global headwinds such as the Trump tariffs. For the uninitiated, it means an economy with high growth and low inflation. "We have the best of both worlds," he explains to INDIA TODAY in an exclusive interview. On broad parameters, India has carved out a global niche for itself as the fastest-growing major economy. But interwoven with that is also a set of sobering realities that bid us to stay grounded. The governor's metaphor invites a tempting question: Is this a fleeting moment of balance or the start of something durable?

Two recent headlines seemed to vindicate his optimism. The Gross Domestic Product (GDP) registered 8.2 per cent growth in the second quarter of FY26, beating all expectations, including the RBI's projections, by a full percentage point. The figure evoked awe and astonishment among India-watchers. The GDP stood tall on the shoulders of not just a robust 9.2 per cent services growth, but also a strong rebound to 9.1 per cent in manufacturing, a sluggish sector for much of the last decade. The second signal was visible on the streets. September onwards, the festive season unleashed a burst of pent-up demand. Auto sales boomed by 22-23 per cent across segments in that 42-day window; electronics, apparel and lifestyle products all saw eager buyers.

▲ Jan. 22, 2024

This was not accidental. It was a pro-consumer policy turn that was 'just right'. In September, the notoriously tangled Goods and Services Tax (GST) was finally rationalised, lifting a range of products out of punitive tax brackets. Earlier, during the Budget, income tax slabs had been similarly eased. Together, this put more money in consumers' hands while making goods cheaper. Sentiment responded predictably, waiting only for the festivals to convert intent into spending. After a decade in which supply-side incentives failed to ignite private investment, the government has clearly pivoted toward demand-led growth. A web of related policy events added to the Goldilocks effect. The RBI has been a crucial partner in this shift. During his year-long stewardship, Malhotra has brought down the repo rate by as much as 125 basis points (bps). After the latest 25 bps cut on December 5, it stands at 5.25 per cent, down from 6.5 per cent at the beginning of the year.

The mechanics may sound arcane, the effects are not. It enables banks to borrow cheap from the RBI. They, in turn, respond by lowering lending rates. This link in the chain fuels both private investment and consumption. Enterprises can access cheaper business loans, crucial in sectors that require high financing. It also accelerates the transformation of the average Indian from a compulsive saver to an impulsive consumer. Household savings have halved since 2000, an uncomfortable trend given rising debt. But lower interest rates also make savings and fixed deposits less alluring, pushing money idling in bank accounts into more productive avenues, including equity markets. Seen thus, the surge of retail investors in the stock market is no risky adventurism; it's putting capital to work, greasing the wheels of the economy. It's a virtuous cycle.

Still, Goldilocks stories rarely last forever. The cheer must be qualified. As our 'Board of India Today Economists' notes, part of the GDP jump owes to a low base: growth in Q2FY25 was just 5.6 per cent. Dharmakirti Joshi, chief economist, Crisil, reminds us that momentum must be sustained for the gains to percolate into the deeper corners of the economy. Neelkanth Mishra, chief economist, Axis Bank, attributes low inflation to "slack" in output, noting it's still "7-11 per cent below its pre-pandemic path", a concern since ever-higher numbers are entering the workforce. He also foresees the GDP's upward arc sustaining more on the RBI's monetary easing, since "the strength in sales seen in late September and October is unlikely to persist". Festival-driven consumption spikes are welcome, but they are no substitute for structural reform. Fortunately, as the new Labour Codes show, the Modi dispensation seems to have its reform mojo back.

In our cover story this week, Managing Editor M.G. Arun and his team pack in all the excitement while at once unpacking the contra-indicators. As CII president Rajiv Memani says, the GST cut is "a one-time event". One swallow does not a fairy tale summer make. The Goldilocks moment is real, but also fragile. Policy must harness it to catalyse "more jobs and better distribution of income". Right now, the porridge is not too hot nor too cold, but we need to keep stirring. The challenge is to convert this statistical sweetness into sustained, inclusive growth. That means tackling the hard stuff: regulatory cholesterol that stifles enterprise, a jobs crisis compounded by a skills mismatch that leaves millions unemployed and unemployable, infrastructure gaps that prevent manufacturing from scaling. The Goldilocks window won't stay open forever. We must use this moment wisely, not squander it on complacency. Because, in economics, as in fairy tales, happy endings are earned, not given.

(Aroon Purie)